

The problem with communism

Communism: A Noble Vision Confronting Human Reality

Communism stands as one of the most ambitious and morally compelling ideas in political and economic thought. At its core, it promises a society organized *by the people and for the people*, where inequality is eliminated, exploitation is abolished, and class divisions cease to exist. Thinkers such as Karl Marx and Friedrich Engels, through works like *The Communist Manifesto*, envisioned a world in which the means of production would be collectively owned, and humanity would operate as a unified whole.

This is not a foolish idea—it is a deeply moral one.

However, the central question is not whether communism is *good in intention*, but whether it is **compatible with human nature, scalable, and sustainable over time**.

I. Human Nature: The Foundational Constraint

At a biological and psychological level, human beings are driven by survival, self-preservation, and relative advantages. While humans are capable of cooperation, cooperation is conditional, limited in scale, and often tied to trust, identity, and accountability.

Communism attempts to construct a system that assumes:

- High levels of altruism
- Consistent prioritization of the collective
- Minimal self-interest in economic behavior

This creates a structural tension:

A system that depends on ideal human behavior must be implemented by non-ideal humans.

This is not a minor flaw—it is the foundation upon which all others emerge.

II. The Scaling Problem: From Household to Nation

Your original intuition forms one of the strongest critiques of communism: it works at small scales—but collapses as it expands.

1. The Household — Natural Communism

Within a family:

- Resources are shared freely
- Needs override ownership
- There is no concept of profit

This works because of:

- Deep trust
- Emotional bonds
- Immediate accountability

This is communism in its purest form—but it is sustained by **biology**, not **ideology**.

2. The neighborhood — Conditional Cooperation

As we expand outward:

- Property distinctions emerge
- Reciprocity becomes conditional
- Trust decreases

Here, systems resemble **socialism**—a mix of shared responsibility and private ownership.

3. The city – Institutional Dependence

At the city level:

- Individuals are strangers
- Trust is replaced by systems
- Laws and enforcement become necessary

Communism begins to struggle because it assumes voluntary cooperation where none naturally exists.

4. The Nation – Structural Breakdown

At the scale of millions:

- Diverse interests conflict
- Shared identity weakens
- Accountability disappears

At this level, communism faces an impossible demand:

That individuals treat strangers with the same priority as family.

This leads to only two outcomes:

1. **Introduce incentives → the system becomes less communist**
2. **Introduce force → the system becomes authoritarian**

III. Incentives: The Missing Engine

A lesser discussed but critical issue is the **collapse of incentive structures**.

If:

- Effort is not proportionally rewarded

- Outcomes are equal regardless of contribution

Then:

- Productivity declines
- Innovation slows
- Responsibility weakens

As Adam Smith noted:

"It is not from the benevolence of the butcher, the brewer, or the baker that we expect our dinner, but from their regard to their own interest."

Communism attempts to eliminate self-interest.

Capitalism, and hybrid systems, **harness it**.

IV. Historical Reality: Evidence from Implementation

1. The Soviet Union

Following the Russian Revolution, the Soviet Union implemented centralized economic planning.

Key failures:

- Resource misallocation
- Chronic shortages (e.g., food and consumer goods)
- Innovation stagnation
- Political repression

The system ultimately collapsed in 1991—not due to external conquest, but internal inefficiency.

2. Maoist China

Under Mao Zedong, the Great Leap Forward attempted rapid collectivization.

Result:

- Agricultural collapse
- Massive famine
- Tens of millions of deaths

China's later success came only after introducing markets—abandoning strict communism.

3. Venezuela

Venezuela implemented heavy state control over industry and redistribution policies.

Outcome:

- Hyperinflation
- Economic collapse
- Severe shortages

4. Modern "Communist" States

Countries like China and Vietnam:

- Allow private enterprise
- Use markets
- Operate hybrid systems

They succeeded not because of communism—but because they **moved away from it.**

V. Less Obvious but Critical Failures (Often Ignored)

These are the deeper issues most debates miss:

1. The Knowledge Problem

Central planners cannot process all economic information.

Without market prices:

- Supply and demand signals disappear
- Allocation becomes guesswork

This led to:

- Surpluses of useless goods
- Shortages of essential ones (e.g., USSR food queues)

2. Innovation Suppression

Without competition or consistent reward structures:

- Risk-taking becomes selective rather than widespread
- Innovation becomes **state-directed**, not organically driven
- Progress concentrates in priority sectors rather than across society

Communist systems have demonstrated the ability to achieve **extraordinary breakthroughs when heavily prioritized by the state**—for example, the Space Race, where the Soviet Union achieved major milestones like launching the first satellite and sending the first human into space.

However, this highlights a key limitation:

Innovation under communism is **selective and centralized**, not broad and self-sustaining.

As a result:

- High-performance achievements occur in strategic areas (military, space, heavy industry)
- But **consumer innovation, efficiency, and everyday technological progress tend to lag behind**

This creates an imbalance:

Strong peak achievements, but weak system-wide innovation.

3. Informal Inequality

Even in “equal” systems:

- Black markets emerge
- Political elites gain privilege
- Access becomes based on connections

Equality is promised—but hierarchy reappears in hidden forms.

4. Bureaucratic Expansion

Central planning requires massive administration:

- Slows decision-making
- Reduces efficiency
- Creates rigid, unresponsive systems

5. Psychological Disengagement

When individuals feel:

- Their effort doesn't matter
- Outcomes are detached from input

They disengage.

This leads to:

- Minimal effort culture
- Declining system performance

VI. The Power Illusion: The Working-Class Question

Communism claims to empower the working class.

But in practice:

- Workers do not directly control production
- The **state controls it on their behalf**

This creates a contradiction:

Power is not decentralized—it is transferred.

And like any system:

- Those in control of the system gain influence
- A new elite emerges

The difference is:

- Communism promises worker power as a core principle
- Yet struggles to deliver it in reality

This makes the gap between **ideal and implementation especially severe.**

VII. Addressing Pro-Communist Arguments Honestly

Communism is correct about:

- Inequality

- Exploitation
- Failures of capitalism

These are real issues.

However:

- Identifying a problem is not the same as solving it
- Communism's solutions introduce new structural weaknesses

VIII. The Philosophical Collapse

At its deepest level, communism fails because it assumes:

- Humans will act collectively at scale
- Power will remain uncorrupted
- Equality can be enforced without hierarchy

As Thomas Hobbes suggested, human behavior is shaped by competition and self-preservation.

And as shown in *Animal Farm* by George Orwell:

Systems built on equality can evolve into inequality through power concentration.

IX. The Most Important Realization

There is no perfect system.

No political or economic model has ever:

- Fully eliminated inequality
- Perfectly balanced freedom and fairness
- Sustained ideal outcomes indefinitely

The most successful nations today are not pure capitalists or communists.

They are **hybrid systems**:

- Combining markets with regulation
- Incentives with social protections
- Individual ambition with collective responsibility

Conclusion

Communism is not a foolish idea—it is a **morally powerful vision**.

But it is not a system designed for humanity as it exists.

- It works in small, trust-based groups
- It struggles at scale
- It fails when it ignores incentives, complexity, and human behavior

Its greatest strength is its moral ambition.

Its greatest weakness is its **detachment from reality**.

Communism asks the right questions—but provides incomplete answers.

And ultimately:

The systems that succeed are not the ones that pursue perfection, but the ones that adapt to truth.

Sources

Primary Philosophical & Foundational Texts

These define communism itself (you *must* include them):

- The Communist Manifesto — Karl Marx & Friedrich Engels
- Das Kapital — Karl Marx

Philosophical & Economic Counterarguments

These help you critique communism at a deep level:

- The Wealth of Nations — Adam Smith
- Leviathan — Thomas Hobbes
- The Road to Serfdom — Friedrich Hayek
- Economic Calculation in the Socialist Commonwealth — Ludwig von Mises

(This last one is extremely important—it directly supports your “knowledge problem” argument.)

Historical Case Studies (Communist States)

Soviet Union

- The Soviet Economy 1917–1991 — Alec Nove
- The Rise and Fall of the Soviet Economy — Philip Hanson

China (Mao Era)

- Mao's Great Famine — Frank Dikötter
- The Cultural Revolution — Frank Dikötter

Venezuela

- The Collapse of Venezuela — Mariano de Alba

Balanced / Comparative Analyses

- Why Nations Fail — Daron Acemoglu & James A. Robinson
- The Shock Doctrine — Naomi Klein (*critique of capitalism*)
- Global Inequality — Branko Milanović

Literary & Philosophical Critique

- Animal Farm — George Orwell
- 1984 — George Orwell

Empirical & Data-Based Studies

- World Bank – development and poverty data
- International Monetary Fund – macroeconomic analysis
- Our World in Data – inequality, health, growth comparisons